TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

Source: The Sydney Morning Herald (Shane Wright), 9 Nov 2026
Wednesday 11 November 2026

# RBA: the AI boom could keep interest rates higher for longer

RBA chief economist **Sarah Hunter** told a UBS conference that the global rush to invest in AI and data centres may keep interest rates higher. She also said productivity gains are likely to come later, and that so far the technology has had little effect on overall jobs.

## WHAT HAPPENED

- **Investment surge:** data-centre investment is up **tenfold** in three years. The RBA expects **$115bn** of data-centre investment by 2028 (about 2% of GDP a year), excluding energy infrastructure.
- The RBA now forecasts **business investment up 12%** this year, compared with 0.8% in its May forecast.
- **Higher rates:** firms around the world are competing for scarce savings. The RBA's estimate of the **neutral rate** has risen, as in the late-1990s internet boom.
- **Costs:** data centres compete with construction for tradies, and their power demand may lift wholesale electricity prices for a time.
- **Productivity J-curve:** there is little evidence of gains yet, because firms take time to reorganise, as with electricity. RBA business contacts don't expect AI to cut headcount in the next year, but hiring of young workers in AI-exposed jobs is lower.
- **Distribution:** 5.3% of households' roughly $9trn of financial wealth is in AI-related companies (2% in late 2022). So far the gains are flowing to a few firms and shareholders.

**Neutral interest rate:** the rate that neither stimulates nor restrains the economy
**General-purpose technology:** an innovation, like electricity, that transforms many industries
**Productivity J-curve:** productivity dips or stalls before rising as firms adapt

## KEY NUMBERS

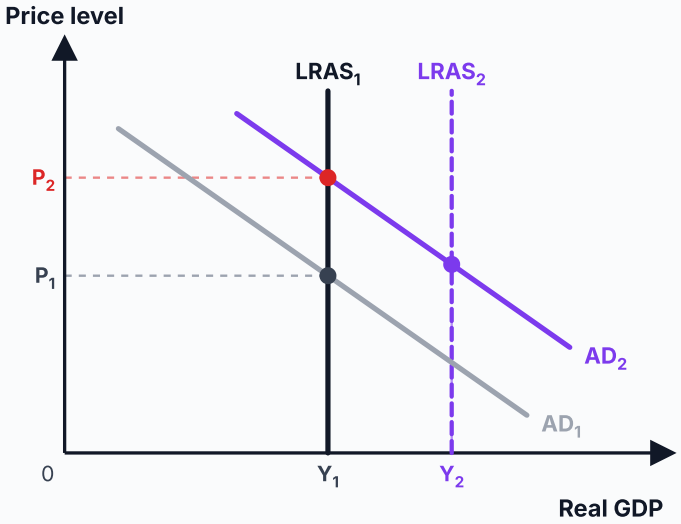
**$115bn**
Expected data-centre investment by 2028

**12%**
RBA forecast for business investment growth this year (May: 0.8%)

**10×**
Rise in data-centre investment over 3 years

**5.3%**
Share of household financial wealth in AI firms (2% in late 2022)

## DIAGRAM — Demand now, capacity later




**Short run:** data-centre construction adds to investment, shifting AD from **$AD_1$ to $AD_2$**. With capacity fixed at **$LRAS_1$**, the main effect is a higher price level (**$P_1$ to $P_2$**), so the RBA keeps rates higher.

**Long run:** if AI lifts productivity, capacity expands to **$LRAS_2$**. Output can then grow to **$Y_2$** with less inflation pressure: the top of the J-curve.

**Exam angle:** the same investment is **inflationary now** and potentially **disinflationary later**. Timing matters for monetary policy, and for whether the gains are shared broadly or concentrated (distribution of income and wealth).

## FLOW CHART — Why a global AI boom can lift Australian interest rates

Firms worldwide invest heavily in AI and data centres → Strong demand for scarce global savings → Bond yields and the neutral rate rise → Extra demand for labour, materials and power → **RBA keeps the cash rate higher for longer**

## SYLLABUS LINK

Topic 4 – monetary policy (neutral rate, inflation forecasting) and microeconomic reform (productivity). Topic 3 – economic growth, inflation, and distribution of income and wealth. Topic 1 – global investment flows.

## TRY THIS

Explain how a surge in data-centre investment could affect inflation and interest rates in Australia in the short run and the long run. **(4 MARKS)**

SMH, Shane Wright – The Reserve Bank says AI could supercharge your workplace. Right now, it's inflating cost of living (Nov 9, 2026). Uploaded by the teacher.



Diagrams are illustrative, not to scale